

**Before the
Federal Maritime Commission**

Docket No. 24-09

**TZ SSE Buyer, LLC
v.
COSCO Shipping Lines Co. Ltd.**

VERIFIED ANSWER TO SECOND VERIFIED AMENDED COMPLAINT

INTRODUCTORY STATEMENT

Pursuant to the Order of the Presiding Officer dated October 16, 2024, Respondent COSCO Shipping Lines Co. Ltd. (“Respondent” or “COSCO”) submit the following Verified Answer to the Verified Second Amended Complaint (hereinafter “Complaint”) served on October 17, 2024.¹

Respondent again notes the Order of the Presiding Officer dated May 24, 2024 denying Respondent’s Motion to Dismiss on the basis that the “Assignment of Claims Agreement” with Laufer Group International attached to the amended complaint “cures the defect alleged in COSCO’s motion to dismiss.” We point out, however, that the assignment of claims that “cures the defect” is only with respect to claims that could have been alleged by the purported Assignor (Laufer Group International) (“Laufer”). Respondent therefore responds only to the surviving claims; those that do not involve cargo carried by Laufer have been dismissed from the proceeding and are in any event specifically denied in full.

¹ On October 31, 2024, Complainant’s counsel agreed to a one-day extension for Respondents to file this Answer.

With respect to the surviving claims purported by Complainant to have been assigned by Laufer to former (and now defunct) Complainants and subsequently to the present Complainant, Respondent notes as follows. To the best of Respondent's knowledge and information, Respondent did not have any service contracts with either of the so-called (now defunct) "Injured Parties"² (Impact Products, LLC or Safety Zone, LLC) during the relevant period (2021-2022). Nor did Respondent have any service contract with the former Complainants' alleged corporate parent Supply Source Global (also now defunct). Furthermore, there has never been any contract between Respondent and Complainant, TZ SSE Buyer LLC, which allegedly acquired the assets and (we understand) some of the liabilities of the aforementioned entities by way of a purchase in bankruptcy under Chapter 11 effective on July 10, 2024. And while Respondent did have service contracts with Laufer, it appears that none of the shipments covered by the Complaint were carried under a service contract between Laufer and Respondent. Rather, those shipments were controlled by the shipper at origin, who was the Shipper Party to the relevant service contracts with Respondent. Laufer was not a Shipper Party to those service contracts, nor did Laufer appear as shipper on any Master Bills of Lading issued by Respondent, but rather acted only as consignee or notify party on these shipments. Finally, to the best of Respondent's knowledge and information, the shipments moved on container yard ("CY") terms, under which a carrier's responsibility for delivery ends when the cargo is made available to the consignee at the marine terminal.

Imposition of delay charges by Laufer on its customers, i.e., Impact Products LLC and Safety Zone, LLC, for delays caused by Laufer, cannot possibly be an unreasonable practice by

² Respondent objects to Complainant's misleading use of the term "Injured Parties" to refer to Impact Products, LLC or Safety Zone, LLC, because, as explained above, any injury they may have suffered, which Respondent disputes, was at the hands of Laufer, not Respondent. Accordingly, Respondent will refer to Impact Products, LLC and Safety Zone, LLC by their correct names or as "former Complainants."

Respondent. Rather, to the extent that any charge was unreasonable, it was an unreasonable practice by Laufer, a non-vessel-operating common carrier (“NVOCC”) regulated by the FMC and subject to the Interpretive Rule and the requirements of the Ocean Shipping Reform Act of 2022. Finally, Laufer never disputed any charges with Respondent whatsoever regarding these shipments.

Therefore, and subject to the foregoing, Respondent Answers the Complaint setting forth Complainant’s allegations by paragraph number followed by Respondent’s respective answer as follows:

1. Complainant TZ SSE Buyer, LLC (“Complainant”), by its undersigned counsel, brings this Verified Second Amended Complaint against Respondent COSCO Shipping Lines Co. Ltd. (“COSCO” or “Respondent”), pursuant to 46 U.S.C. Section 41301, to seek reparations for injuries to Impact Products, LLC and Safety Zone, LLC (the “Injured Parties”) caused by Respondent’s violation of the Shipping Act of 1984, as amended, 46 U.S.C. Section 40101 *et seq.* (the “Shipping Act”).

ANSWER: Respondent admits that Complainant, as purchaser in bankruptcy of former Complainants, as purported assignees from Laufer, has filed an amended complaint against Respondent, the contents of which are the best evidence of what it says. Respondent denies the remaining allegations of Paragraph 1.

2. The Injured Parties The Injured Parties originally filed the Verified Complaint against Respondent on February 14, 2024 and amended their Verified Complaint on May 17, 2024. However, on May 21, 2024, the Injured Parties filed for Chapter 11 bankruptcy in the United States Bankruptcy Court for the District of Delaware, Case No. 24-bk-11055 (Bankr. Del.) (the “Bankruptcy Proceeding”). As part of the Bankruptcy Proceedings, the Injured Parties sold all of

their assets, including the claims asserted against Respondent in this case, to Complainant. The Bankruptcy Court approved the sale on July 10, 2024. As a result, the Complainant now brings these claims on behalf of the Injured Parties.

ANSWER: Ignoring the misleading reference to “Injured Parties” (see footnote 2, above), Respondent admits that Impact Products, LLC and Safety Zone, LLC filed the original Verified Complaint against Respondent on February 14, 2024, and later amended the Verified Complaint on May 17, 2024. Respondent otherwise lacks sufficient information to admit or deny the allegations of Paragraph 2.

3. Since the beginning of the COVID-19 pandemic, global ocean carriers, including Respondent, have, as alleged herein, and upon information and belief, unjustly and unreasonably exploited customers, such as the Injured Parties, by vastly increasing their profits at the expense of shippers and the U.S. public generally, which bears increased freight cost in the form of inflation.

ANSWER: Respondent denies the allegations of Paragraph 3 as to Respondent and lacks information sufficient to respond regarding other ocean carriers.

4. As explained further below, beginning in 2021 through 2022 (the “Relevant Period”), Respondent assessed demurrage, detention, per diem, and yard storage charges (the “Charges”) to the Injured Parties for periods of time in which the Injured Parties’ ability to pick up containers at the ports, or return empty containers promptly, was significantly constrained due to circumstances outside of the Injured Parties’ control, such as congestion at the ports and shortage of equipment.

ANSWER: Respondent denies the allegations of Paragraph 4, including the allegation that Respondent charged “yard storage charges” on the shipments covered by the surviving claims of the Complaint (the “Subject Shipments”).

5. Respondent's conduct, as alleged herein, with respect to the receipt, handling, storage, and/or delivery of the Injured Parties' property and, upon information and belief, of other shippers, occurred on a normal and customary basis.

ANSWER: Respondent denies the allegations of Paragraph 5.

6. The Injured Parties Impact Products, LLC and Safety Zone, LLC are corporations with offices in Ohio, Tennessee, and Connecticut, among other locations. Impact Products LLC is located at 2840 Centennial Rd., Toledo, OH 43617 and it has an email address of Thomas.russo@supplysourceglobal.com. Safety Zone LLC has an address of 385 Long Hill Rd., Guilford, CT 06437 and an email address of Thomas.russo@supplysourceglobal.com. Their parent corporation is Supply Source Enterprises ("Supply Source"). The Injured Parties are "shippers" pursuant to 46 U.S.C. 40102(23). Impact Products LLC was the leading manufacturer of supplies and accessories for the cleaning industry, and Safety Zone LLC manufactured safety equipment and products. They were in business for over fifty years. Impact Products LLC was formed in 1963 and Safety Zone LLC in 1973. The Injured Parties had service centers in Connecticut, Ohio, and Shanghai, China and distribution centers in Connecticut, Indiana, California, Texas, and Florida.

ANSWER: Respondent denies the allegation of Paragraph 6 that Impact Products, LLC or Safety Zone, LLC were "shippers." Respondent denies that Impact Products, LLC or Safety Zone, LLC appeared on any ocean bills of lading issued by Respondent under any designation ("shipper," "consignee," "notify party" or any other designation); nor did Respondent contract with Impact Products, LLC or Safety Zone, LLC in any other way to carry any of the Subject Shipments. Respondent lacks information sufficient to admit or deny the remaining allegations of Paragraph 6; to the extent a response is required, denied.

7. Complainant is a Delaware limited liability company located at 2840 Centennial Drive,

Toledo, Ohio 43617 and has an email address of tlondo@tranzonic.com.

ANSWER: Respondent lacks information sufficient to admit or deny the allegations of Paragraph 7; to the extent a response is required, denied.

8. Upon information and belief, Respondent COSCO is a company organized under the laws of China. COSCO was established in 2016, and is a Chinese global ocean carrier located at No. 378 Dong Da Ming Road, Shanghai, 200080, People's Republic of China and its U.S. office is located at 100 Lighting Way, Secaucus, NJ 07094. COSCO offers container transportation in 105 countries and serves multiple ports in the United States.

ANSWER: Respondent admits the allegations of Paragraph 8 except that it lacks information sufficient to admit or deny the allegation that Respondent COSCO is a "global ocean carrier," as that term is nowhere defined.

9. The Federal Maritime Commission ("FMC") has jurisdiction over this Verified Second Amended Complaint pursuant to 26 U.S.C. §§ 41301 through 41309.

ANSWER: Respondent denies the allegation of Paragraph 12 that the FMC has jurisdiction under "26 U.S.C. §§ 41301 through 41309."

10. The FMC has personal jurisdiction over Respondent as an ocean common carrier, as that term is defined by 46 U.S.C. Section 40102(18), that has entered into a "service contract", as that term is defined by 46 U.S.C. Section 40102(21), with Laufer Group International ("Laufer").

ANSWER: Respondent admits the allegation of Paragraph 13 that COSCO, as an ocean common carrier, is generally subject to the personal jurisdiction of the FMC. Respondent denies the remaining allegations of Paragraph 10, including the allegation that the Subject Shipments moved under a service contract between Respondent and Laufer Group International.

11. Respondent's actions alleged herein constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of the Injured Parties, in violation of 46 U.S.C. Section 41102(c) and the FMC's Interpretive Rule on Demurrage and Detention under the Shipping Act, 85 Fed. Reg. 29,638 (May 18, 2020 (partially codified at 46 C.F.R. Section 545.5) (the "Interpretive Rule"), and in particular the Incentive Principle articulated in the Interpretive Rule.

ANSWER: Paragraph 11 constitutes a conclusion of law to which no response is required. To the extent that a response may be required, Respondent denies the allegations of Paragraph 11.

12. Respondent's assessment of the Charges or a substantial majority thereof, and the alleged acts and omissions of Respondent that led to the assessment of such Charges, also constitute violations of 46 U.S. Section 41104, including 46 U.S.C. Section 41104(a)(10)'s prohibition on unreasonable refusals to deal or negotiate.

ANSWER: Paragraph 12 constitutes a conclusion of law to which no response is required. To the extent that a response may be required, Respondent denies the allegations of Paragraph 12.

13. For the period of 2021 through 2022, the Injured Parties used Laufer, a non-vessel operating common carrier ("NVOCC"), to assist in delivering containers with the Injured Parties' goods (the "Relevant Containers") from outside the United States to the United States. Upon information and belief, Laufer entered into a service contract or service contracts with Respondent for the shipment of the Relevant Containers on Respondent's vessels. Laufer, as an NVOCC, booked the shipments of the Relevant Containers under these service contracts.

ANSWER: Respondent denies the allegations of Paragraph 13 except that Respondent

admits that Laufer is an NVOCC. Respondent denies that any of the Subject Shipments moved under a service contract between Laufer and Respondent.

14. Throughout the Relevant Period, the Injured Parties, through Laufer, shipped 1,577 unique containers using Respondent. Of those containers, Respondent assessed Laufer with demurrage on 244 containers, detention charges on 15 containers, per diem charges on 73 containers, and yard storage charges on 312 containers. The total demurrage, detention, per diem, and yard storage charges total \$1,656,492.00.

15. ANSWER: Respondent denies the allegations of Paragraph 14, except that because the Complaint does not identify the specific containers/shipments at issue, Respondent lacks information sufficient to admit or deny the any of the numbers alleged in Paragraph 14. Laufer passed the Charges through to the Injured Parties with no markups. While Laufer invoiced the Injured Parties for the Charges, it was simply acting as a conduit for the Charges that were assessed by Respondent. The Injured Parties subsequently paid Laufer a total of \$1,656,492.00 for the Charges assessed by Respondent during the Relevant Period. Laufer then used the proceeds it received from the Injured Parties to pay Respondent.

ANSWER: Respondent denies the last sentence of Paragraph 15 and otherwise lacks information sufficient to admit or deny the allegations of Paragraph 15; to the extent a response is required, denied.

16. On April 4, 2024, Laufer assigned the claims alleged herein against Respondent to the Injured Parties. A true and correct copy of the Assignment of Claims Agreement between the Injured Parties and Laufer is attached herein as **Exhibit A.**

ANSWER: Respondent admits the allegation of Paragraph 16 that Laufer signed a document purporting to assign certain claims ii purportedly may have held against Respondent but

denies that Laufer held any such claims or that such purported assignment was effective as a transfer of alleged Shipping Act claims.

17. As Commissioner Rebecca F. Dye emphasized in her Final Report from the FMC's Fact Finding Investigation 29, "the Interpretive Rule on Detention and Demurrage promulgated by the Commission pursuant to Fact Finding 28 provides the shipping public with an enforceable principle that the Commission employs to assess the reasonableness of demurrage and detention practices and regulations under the Shipping Act of 1984, as amended."

ANSWER: Respondent asserts that the document itself is the best evidence of its contents but denies that the existence of this document is relevant to this matter or is proof or evidence of anything contained therein.

18. As set forth in the FMC's Interpretive Rule, "the purpose of demurrage and detention are to incentivize cargo movement," and therefore the FMC "will consider in the reasonableness analysis under section 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity."

ANSWER: Respondent asserts that the Interpretive Rule, as effectively revised by the United States Court of Appeals for the District of Columbia Circuit, itself is the best evidence of its contents.

19. Respondent's assessment of the Charges, or a substantial majority thereof, and Respondent's acts and omissions that led to the assessment of the Charges, were incapable of incentivizing cargo movement and were therefore unreasonable.

ANSWER: Respondent denies the allegations of Paragraph 19.

20. To maximize container use and port storage space, carriers charge a daily fee to shippers who fail to pick up containers promptly or after the number of free days has expired. Similarly, an

importer faces detention charges if it fails to unload a container and return the empty container to the port within the free period.

ANSWER: Respondent denies the allegations of Paragraph 20 to the extent the allegations assert that only carriers, and not terminals, charge such fees and further to the extent it alleges that there are no other relevant considerations.

21. Respondent refused to act reasonably by extending the number of free days available for the Injured Parties to retrieve the Relevant Containers, despite the fact that the delays were caused by circumstances outside the Injured Parties' control and were attributable to Respondent's acts or omission.

ANSWER: Respondent denies the allegations of Paragraph 21.

22. In 2021 and 2022, the volume of shipments entering certain ports surged compared to 2020. Despite this increase, Respondent refused to divert shipments to less congested ports and failed to extend the number of free days for the Injured Parties to retrieve the Relevant Containers and to drop off empty containers before it assessed the Charges.

ANSWER: Respondent denies the allegations set forth in the second sentence of Paragraph 22 and lacks information sufficient to admit or deny the allegation of the first sentence of Paragraph 22; to the extent a response is required, denied.

23. The Charges assessed by Respondent and paid by the Injured Parties were assessed during periods of time in which such Charges were not just or reasonable because of circumstances outside the control of the Injured Parties and its agents and services providers, such as congestion at ports and shortage of equipment.

ANSWER: Respondent denies the allegations of Paragraph 23.

24. Respondent failed to provide adequate practices and facilities to handle and store the

Relevant Containers and also failed to provide adequate facilities for its customers, including the Injured Parties, to return empty containers.

ANSWER: Respondent denies the allegations of Paragraph 24.

25. Despite that knowledge, Respondent continued to accept Complainants' goods for ocean common carriage and for receipt, handling, storage, and/or delivery through the ports.

ANSWER: Respondent denies the allegations of Paragraph 25.

26. Respondent also failed to provide the Injured Parties with reasonable free time to retrieve the Relevant Containers, which Respondent transported into the ports while failing to clear their container backlog.

ANSWER: Respondent denies the allegations of Paragraph 26.

27. The Charges did not serve, and could not have served, as a financial incentive to promote freight fluidity, but instead operated only as a punitive penalty on the Injured Parties for circumstances over which they and their agents and service providers had little to no control.

ANSWER: Respondent denies the allegations of Paragraph 27.

28. Respondent also failed to provide sufficient detail on their invoices to allow the Injured Parties to understand the reasons for the Charges and to be able to contest the Charges.

ANSWER: Respondent denies the allegations of Paragraph 28.

29. Unless addressed, Respondent's unlawful practices risk becoming the industry standard, allowing global container lines to impose improper detention and demurrage charges on shippers for delays and conditions beyond the shippers' control.

ANSWER: Respondent denies the allegations of Paragraph 29.

30. Complainant repeats and realleges the allegations above as if fully set forth herein.

ANSWER: Respondent repeats and reasserts the answers above as if fully set forth herein.

31. Respondent's assessment of the Charges, and the alleged acts or omissions of Respondent that led to the assessment of such Charges, constitutes failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the Injure Parties' property in violation of 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC's Interpretive Rule.

ANSWER: Respondent denies the allegations of Paragraph 31.

32. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: Respondent repeats and reasserts the answers above as if fully set forth herein.

33. Respondent's assessment of the Charges, and the alleged acts or omissions of Respondent that led to the assessment of such Charges, constitutes unreasonable refusal to deal or negotiate with the Injured Parties, in violation of 46 U.S.C. Section 41104(a)(10).

ANSWER: Respondent denies the allegations of Paragraph 33.

34. The foregoing alleged illegal acts of Respondent have directly and proximately injured Complainant, through the Injured Parties, by forcing the Injured Parties to pay the Charges.

ANSWER: Respondent denies the allegations of Paragraph 24.

35. Complainant, through the Injured Parties, have been, and continue to be, actually and materially injured by each of Respondent's continuous illegal conduct in violation of the Shipping Act alleged herein.

ANSWER: Respondent denies the allegations of Paragraph 35.

36. Respondent's violations alleged herein have caused direct and proximate financial damages to Complainant, through the Injured Parties, in an amount already believed to exceed \$1,500,000.00, currently accruing, and to be further demonstrated in this proceeding.

ANSWER: Respondent denies the allegations of Paragraph 39.

REQUEST FOR ORAL HEARING

Respondent requests an oral hearing in Washington, D.C.

AFFIRMATIVE DEFENSES

1. The FMC lacks authority to adjudicate this matter, as it would violate the Seventh Amendment.
2. The FMC lacks authority to adjudicate this matter, as it would violate the Judiciary Act of 1789.
3. Complainant lacks standing to seek reparations.
4. The FMC lacks authority to adjudicate this matter to the extent that Complainant's claims sound in contract.
5. Complainant has failed to plead essential elements of a claim under 46 U.S.C. Section 41102(c).
6. Complainant has failed to plead essential elements of a claim under 46 U.S.C. Section 41104(a)(10).
7. Complainant (or its purported assignors Laufer, then the former Complainants) waived all of Complainant's claims due to its failure (or the failure of its purported assignors -- Laufer, then the former Complainants) to use the procedures required by the FMC and maintained by Respondent for addressing disputes about detention, demurrage, and per diem charges.
8. Because Respondent maintained procedures for disputing detention, demurrage, and per diem charges and Complainant willfully declined to use them, Respondent's actions are per se unreasonable.

9. Any harm experienced by Laufer and purported to be assigned to Complainant was as a result of Laufer's own failures or inaction.

10. Complainant has failed to state a claim for which relief can be granted, including for reasons of vagueness.

11. Complainant has (and the former Complainants had) no more rights against Respondent than Laufer had against Respondent, and Laufer had no claims against Respondent.

12. Complainant has not suffered any actual injury or damage as a result of Respondent's alleged violations of the Shipping Act, which, if any, are denied.

13. Complainant acted as a volunteer in making payments to non-party Laufer without determining the validity of Laufer's claims before making payment.

14. Complainant lacks standing to assert any claims other than those assigned to it by Laufer.

15. Any delay in the delivery of cargo or return of empty equipment that resulted in charges to Impact Products, LLC or Safety Zone, LLC was caused by Laufer or its agents and was the responsibility of Laufer and its agents; invoicing Impact Products, LLC or Safety Zone, LLC for charges incurred due to Laufer's delay was an unreasonable practice by Laufer, a non-vessel-operating common carrier ("NVOCC") regulated by the FMC.

16. To the extent that the Claims involve charges from entities other than Respondent, such as railroads, terminal operators, truckers, and storage facilities, Respondent cannot be held responsible.

17. Complainant lacks standing to assert claims on behalf of defunct entities Impact Products, LLC and Safety Zone, LLC.

18. Complainant lacks standing to assert claims on behalf of defunct entity Supply Source

Global.

19. Complainant lacks standing to assert the claims of Laufer Group International pursuant to an assignment of claims to Impact Products, LLC and Safety Zone, LLC, as that assignment of claims is invalid.

20. The Claims are barred by the Statute of Limitations.

21. The Commission lacks subject matter jurisdiction for any shipments that did not move through a U.S. port.

PRAYER

Respondent prays that its Answer be deemed good and sufficient and that all claims by Complainant against Respondent be dismissed, with prejudice, and that such other and further relief, including attorneys' fees, be awarded Respondents, and that the proceeding be terminated.

DATED: November 1, 2024

Respectfully submitted,



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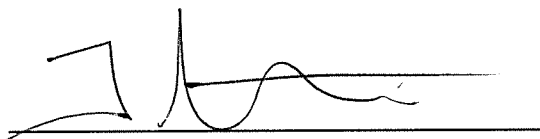
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VERIFICATION

I, James Houghtalin, declare as follows:

1. I am the Chief Risk Officer of COSCO Shipping Lines (North America) Inc.
2. I am duly authorized to make this verification on behalf of COSCO Shipping Lines Co. Ltd.
3. I have read the contents of the Answer of Respondent COSCO Shipping Lines Co. Ltd. in FMC Docket No. 24-09 attached hereto, and I verify under penalty of perjury that the statements of fact contained therein are true and correct to the best of my knowledge, information, and belief.

Signed,

A handwritten signature in black ink, appearing to be 'J. Houghtalin', written over a horizontal line.

James Houghtalin, Chief Risk Officer

CERTIFICATE OF SERVICE

I certify that on this 1st day of November, 2024, a true and correct copy of the foregoing **ANSWER** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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